

Japan Equity Strategy

Ongoing stock rally driven by earnings: Raising price targets to 75,000 for Nikkei 225 and 4,400 for TOPIX

With earnings-driven stock rally to continue in 2H 2026, raise our 2026 year-end targets to 75,000 for Nikkei 225 and 4,400 for TOPIX: We expect Japanese equities to stay on an upward trend in 2H 2026 and raise our 2026 year-end price targets to 75,000 for the Nikkei 225 and 4,400 for TOPIX (Figure 1 and Figure 2: FY2026E TOPIX EPS +11% YoY, P/E 17x). In 1H, TOPIX rose 18% YoY and has outperformed the MSCI World, S&P 500, and STOXX 600 indexes as of June 17 (same below). The Liberal Democratic Party's (LDP's) landslide victory in the February Lower House election heightened policy expectations. Since April, as stock markets recovered, AI semiconductor stocks have led the way, and the Nikkei 225 (with AI-related stocks accounting for about 50% of its market capitalization) is up 39% YTD, significantly outpacing TOPIX's return (with AI-related stocks accounting for about 30%: Figure 6). We have had a bullish stance since the start of the year, and moved early to raise our price targets in a market driven by AI semiconductors since April (Nikkei 225 to 70,000 and TOPIX to 4,300; see our [April 22 report](#)). However, with a faster pace than we expected in the global AI supercycle, as of mid-June, the Nikkei 225 had reached our target mid-year, while the remaining upside for TOPIX is just 7-8%. Although the pace of share price gains was rapid in 1H, semiconductor and semiconductor production equipment (SPE) companies, such as Kioxia and electric wire & cable manufacturers, reported strong growth in earnings (we raise our FY2026 EPS estimate from ¥198 as of end-2025 to the current ¥234: Figure 3). Valuations (P/E, Figure 4) have cooled to the 16x level, alleviating concerns about overheating. We see upside risk to profit growth.

In 2H, inflation, the start of interest rate hikes by central banks (the US Fed's reaction function is still unclear) and geopolitical risks are the main concerns in global markets. However, AI appears to be in a supercycle, with AI inference as the main growth area and US hyperscalers' investments in data centers driving up demand for semiconductor chips, memory, and electronic components beyond market expectations. Large IPOs by SpaceX, Anthropic (planned), and OpenAI (planned) with initial public offerings on the scale of a trillion dollars this year are also likely to support risk-taking sentiment in the market. In the Japanese market, investors are concerned about fiscal policy, rising long-term interest rates, and depreciation pressure on the yen. We believe such negative factors are outweighed by positive factors, such as structural changes (corporate reforms improving balance sheets and profitability, larger fund inflows into Japanese equities), growth strategies, and tailwinds from the AI semiconductor cycle.

Risks include excessive yen depreciation and sharp increases in interest rates: [Rising interest rates](#) and yen weakness are risks for Japanese equities. As the BoJ has noted, however, underlying inflation is finally approaching 2%, so the rate hikes might accelerate going forward. While the Fed may turn more hawkish under Chairman Warsh (an increase in the number of hikes priced in by the OIS market), this might not be so straightforward. However, if a more hawkish Fed results in a moderate correction of yen depreciation, it would be a positive factor for Japanese equities. Yen depreciation beyond the ¥160/\$ level would be negative for households, due to stronger domestic inflation from high pass-through, and also for capital markets through the lens of equity investment returns for overseas investors. Although the

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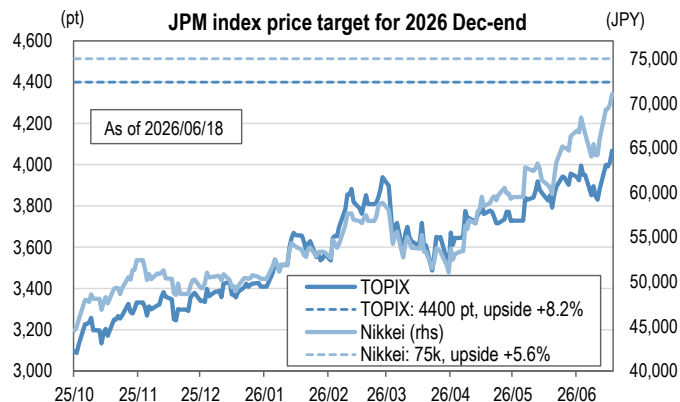
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market is concerned about fiscal expansion, we do not expect fiscal policy outlined in the upcoming release of the Basic Policy on Economic and Fiscal Management and Reform to immediately trigger an uncontrollable surge in long-term interest rates, owing to economic growth under inflation. In this environment, we expect a faster pace of growth in corporate earnings driven by corporate business restructuring and capital policy, and a clearer [inflow of funds to Japanese equities](#) from individual investors, pension funds, and financial institutions to serve as catalysts for the Japanese equity market.

Equity investment strategy for 2H 2026: We expect the global AI revolution and the AI-driven market to continue in 2H. We therefore believe AI semiconductors and financials should be positioned as the core of Japanese equity portfolios. If the Middle East situation stabilizes, we expect a short-term share price rebound in the construction, transportation, chemicals, and defense sectors, helped by a decline in crude oil prices. We also expect the food sector to recover, as higher crude oil prices will probably be passed onto consumers and the consumption tax on food looks likely to be cut this summer. In the 1H results announcement season this autumn, we expect share prices to rebound, driven by upward revisions to earnings estimates for large-cap banks, automakers, and the defense sector. We believe these factors could lead to a partial correction of the AI-dominated market toward year-end. Even as the AI-driven market continues unabated, we observe widening differences in signs of overheating among business domains within the AI semiconductor space. Toward year-end, we expect higher-than-expected earnings for SPE and memory makers, and we look for share prices to catch up in lagging domains, such as physical AI (Figure 7).

Figure 1: Target Prices for Japanese Equities



Source: Bloomberg Finance L.P., J.P. Morgan estimates

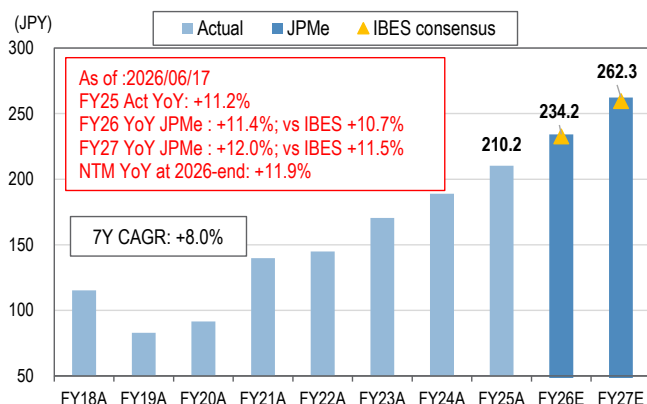
Figure 2: Japanese Equities Outlook to End-2026 (TOPIX, Nikkei 225)

NT ratio: 17.0x	FY26-end			TOPIX 12-month forward PER (x)				
	YoY	EPS	NTM EPS	16.0x	16.5x	17.0x	17.5x	18.0x
EPS growth in FY2026 and FY-end NTM EPS (expect NTM growth of 12% at FY-end)	+13%	238	266	4,250 pt 72,500 Yen	4,400 pt 74,500 Yen	4,450 pt 76,000 Yen	4,600 pt 78,000 Yen	4,750 pt 80,500 Yen
	+12%	235	263	4,200 pt 71,500 Yen	4,350 pt 74,000 Yen	4,450 pt 75,000 Yen	4,550 pt 77,500 Yen	4,700 pt 79,500 Yen
	+11%	234	262	4,200 pt 71,500 Yen	4,300 pt 73,500 Yen	4,400 pt 75,000 Yen	4,550 pt 77,000 Yen	4,650 pt 79,500 Yen
	+8%	227	254	4,050 pt 69,000 Yen	4,200 pt 71,500 Yen	4,250 pt 72,500 Yen	4,400 pt 74,500 Yen	4,500 pt 76,500 Yen
	+6%	223	249	4,000 pt 68,000 Yen	4,100 pt 70,000 Yen	4,200 pt 71,000 Yen	4,300 pt 73,500 Yen	4,450 pt 75,500 Yen
	+5%	221	247	3,950 pt 67,000 Yen	4,100 pt 69,500 Yen	4,150 pt 70,500 Yen	4,250 pt 72,500 Yen	4,400 pt 74,500 Yen
	+4%	219	245	3,900 pt 66,500 Yen	4,050 pt 68,500 Yen	4,100 pt 70,000 Yen	4,250 pt 72,000 Yen	4,350 pt 74,000 Yen

Source: J.P. Morgan estimates

Note: Orange shading indicates the end-2026 target price.

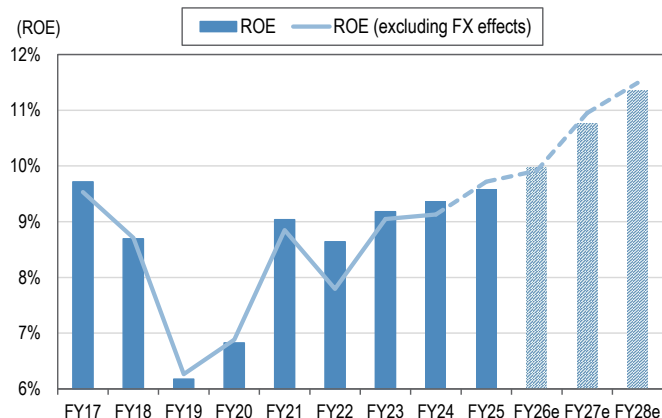
Figure 3: TOPIX EPS Forecast



Source: Datastream, J.P. Morgan estimates

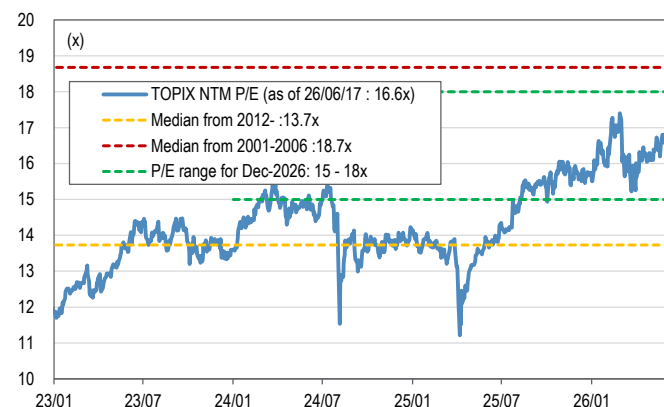
Note: The 7-year CAGR is from FY2018 to FY2025. EPS consensus is IBES.

Figure 5: TOPIX ROE Forecast



Source: Bloomberg Finance L.P., J.P. Morgan estimates

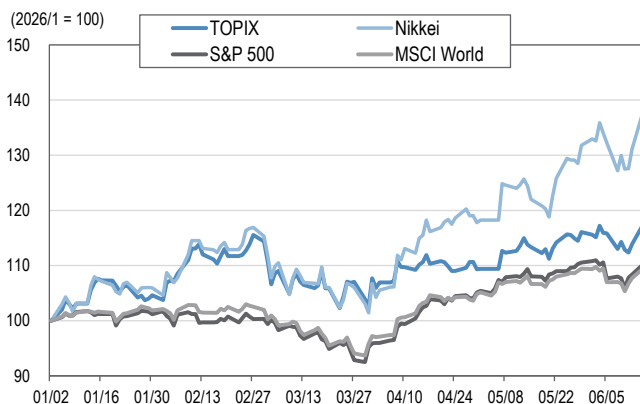
Figure 4: TOPIX P/E Forecast



Source: Datastream, J.P. Morgan estimates

Note: NTM P/E is based on IBES consensus.

Figure 6: 2026 Year-to-Date Performance



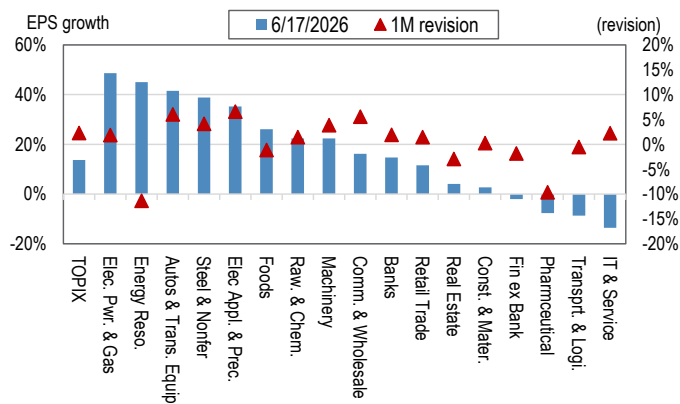
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 7: Sector Allocation

GICS 11 Sector	Energy	Materials	Industrials	Consumer Discretionary	Consumer Staples	Health Care	Financials	Information Technology	Comm. Services	Utilities	Real Estate
GICS 25 Industry Groups Blue = OW Red = UW Black = N	Energy	Materials	Capital Goods	Automobiles & Components	Consumer Staples Distr. & Retail	Health Care Equip. & Serv.	Banks	Software & Services	Telecom Serv.	Utilities	Real Estate
			Commercial & Prof. Serv.	Consumer Durab. & Appar.	Food, Beverage & Tobacco	Pharms., Biotech. & Life Sciences	Financial Services	Tech. Hardware & Equip.	Media & Entertainment		
			Transportation	Consumer Services	Household & Personal Products		Insurance	Semicon. & Semicon. Equip.			
				Consumer Discr. Distri. & Retail							
Allocation	OW	OW	N	N	UW	UW	OW	OW	N	UW	N

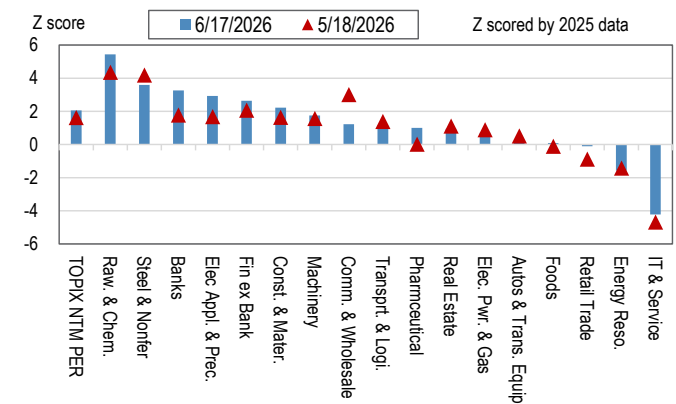
Source: J.P. Morgan estimates

Figure 8: EPS Estimates by TOPIX 17 Sectors



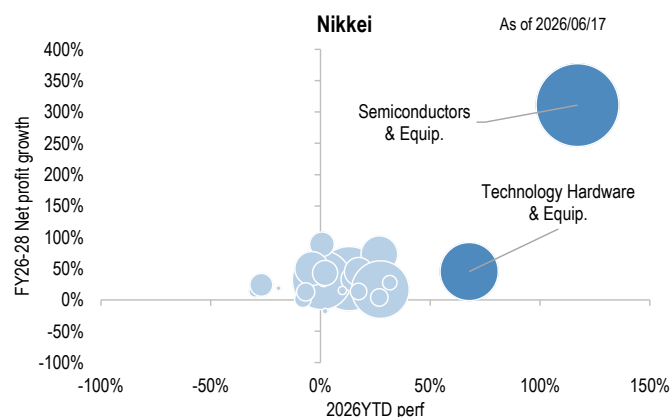
Source: Bloomberg Finance L.P., J.P. Morgan
Note: EPS estimates are Bloomberg consensus.

Figure 9: Valuation Levels by TOPIX 17 Sectors



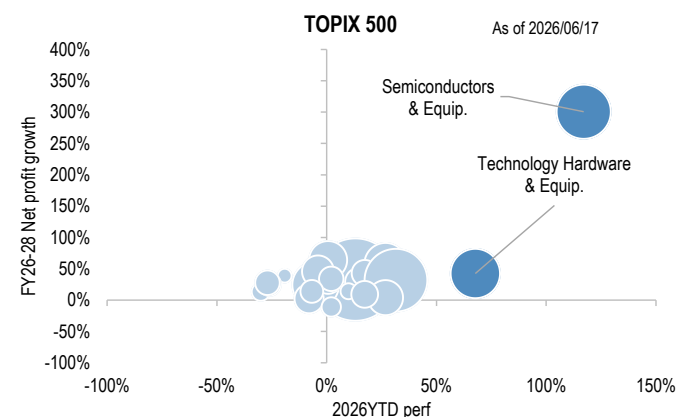
Source: Bloomberg Finance L.P., J.P. Morgan
Note: PER estimates are Bloomberg consensus.

Figure 10: Net Profit Estimates for the Nikkei 225 Constituents



Source: Bloomberg Finance L.P., J.P. Morgan
Note: EPS is Bloomberg consensus. Circle size indicates index constituent weight.

Figure 11: Net Profit Estimates for the TOPIX 500 Constituents



Source: Bloomberg Finance L.P., J.P. Morgan
Note: EPS is Bloomberg consensus. Circle size indicates index constituent weight.

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